Unit 1 Section 2 – The Market

Mixed Topic Practice Questions

Define (2 marks)

Define demand.

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Define supply.

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Define price elasticity of demand (PED).

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Define income elasticity of demand (YED).

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Explain (4 marks)

Explain one non-price factor that could lead to an increase in demand.

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Explain how subsidies can affect supply.

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Explain how a PED value of -1.5 would influence a firm's revenue.

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Explain why inferior goods have negative income elasticity.

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Assess / Analyse (6 marks)

Assess the impact of an increase in consumer income on demand for luxury goods.

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Analyse the effects of a rise in production costs on supply and equilibrium price.

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Discuss (8 marks)

Discuss whether PED is always useful when making pricing decisions.

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Discuss how changes in income affect businesses selling different types of goods.

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Evaluate (10–20 marks)

Evaluate whether elasticity of demand is the most important factor influencing business revenue.

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Evaluate the extent to which non-price factors influence market equilibrium.

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